Investment Committee Memorandum | National Fleet Services

Independent desktop screen | Seacoast-style non-control capital structure | Decision: DO NOT INVEST AS PRICED

DECISION	HYPOTHETICAL TERMS	UNDERWRITING STATUS
Decline proposed economics; allow conditional data request only	$12.00m total: $8.00m subordinated debt plus $4.00m preferred; 5% penny warrant	Real company, no verified financials, funding request or management contact

1 | Executive recommendation

Recommendation: No investment authorization, term sheet or management approach. National Fleet Services (NFS) appears to be a potentially interesting business for a junior-capital growth case because it has operated for decades, has multiple OEM-adjacent upfit locations, and is family-operated. However, it has not disclosed financial statements to this project, and there is no verified indication that management seeks outside capital. A process decision to request diligence, if a legitimate opportunity arises, is the only defensible near-term outcome. [S05, S06, S09]

Pricing objection: Even with the illustrative business assumptions favorable enough to satisfy the published quantitative Seacoast screen, an $8.00m subordinated note plus $4.00m preferred equity with 5% penny warrant participation produces only 13.8% modeled base gross investor IRR, below the independent analyst hurdle of 16.0%. A downside case offers 12.0% IRR and a weakest-year fixed-charge coverage ratio of 1.12x, below the analyst test of 1.20x. This is not a finding about NFS actual creditworthiness. [Model: Investment Dashboard]

Why it is mandate-relevant: Seacoast publicly seeks $5m-$30m junior capital investments, revenue greater than $10m, EBITDA greater than $2m, no more than 4.0x pro forma leverage through its capital, and capacity for at least 8% blended current yield. Its investments may use subordinated debt, preferred or common equity and often involve a five-to-seven-year horizon. [S01, S02]

2 | Verified company observations

Evidence category	Public information	Investment relevance
Operating continuity	NFS says it was founded in Detroit in 1996 by Timothy P. LaRiviere; 2026 anniversary material calls it family-owned. [S05, S09]	Positive screening indicator, but ownership percentages and succession remain unknown.
Physical footprint	NFS describes sites in Detroit, Liberty/Kansas City, Avon Lake and St. Louis. Avon Lake advertises up to 25,000 vehicle modifications/year capacity. [S06]	Geographic reach and potential expansion platform; capacity is not utilization or revenue.
Market positioning	NFS provides Ford, GM and RAM vehicle modifications, ship-through programs, quality inspection and other fleet upfit services. [S05, S07]	Potential process differentiation, but no contract duration, margins or moat verified.
Customer indications	Public website references testimonials from U-Haul and Sunbelt Rentals. [S07, S08]	Supports customer-use case; does not prove annual revenue, exclusivity or retention.

3 | Market context and differentiation

Upfitting converts vehicles into specific commercial applications and sits between chassis production, fleet purchasing and business deployment. NFS lists complex chassis modifications, safety packages, field modifications, inspection and fleet branding, suggesting both engineering and throughput execution matter. The industry is not immune to demand volatility: a published Q2 2026 commercial-vehicle analysis found a quarter-on-quarter rebound in dealer sales movement but a year-on-year decline in new work-truck and van movement. These data are directional industry context, not a prediction of NFS sales. [S07, S10]

The central investment hypothesis is not simply that vehicle customization is growing. It is that an established operator can convert OEM proximity, quality controls and repeat commercial relationships into pricing durability, low rework rates, positive cash conversion and attractive incremental returns on expansion. No public evidence is sufficient to establish these claims today.

4 | Proposed transaction and financing logic

Illustrative source / use	Amount ($m)	Underwriting rationale
Source: subordinated debt	8.00	11% annual cash coupon; principal repaid at exit
Source: preferred equity	4.00	8% annual cash dividend on original investment; 3% PIK accretion
Use: facility expansion	7.00	Requires vendor bids and measurable incremental throughput
Use: working-capital funding	3.00	Requires unit-level cash conversion and peak seasonal plan
Use: technology / quality	1.00	Requires tangible productivity and rework milestones
Use: transaction fees / contingency	1.00	Illustrative closing costs and reserves

Illustrative sources and uses balance at $12.00m. The use-of-proceeds mix is a hypothetical underwriting construct, not a company plan. The $7.00m up-front funded expansion is assumed spent at close; annual recurring capex is separately deducted from projected cash flow. The model assumes no undrawn proceeds remain as idle cash. [Model: Assumptions]

5 | Operating forecasts and threshold reconciliation

For a controlled test, the model posits $32.00m FY0 revenue, a 17% FY0 EBITDA margin, $5.44m FY0 EBITDA, $5.00m pre-existing senior debt and $2.00m opening cash. ALL FIVE FIGURES ARE ANALYST ASSUMPTIONS, NOT HISTORICAL NFS RESULTS. Conservative debt-equivalent opening leverage is 3.13x when the full new $12.00m, including preferred, is counted alongside senior debt. The modeled annual cash-pay amount of $1.20m corresponds to 10.0% on new invested capital. The illustrative starting metrics meet Seacoast's stated numeric thresholds but cannot verify company eligibility. [S01; Model: Assumptions]

6 | Scenario underwriting and outcomes

Five-year outcome	Downside	Base	Upside
FY5 revenue ($m)	34.63	43.22	48.77
FY5 EBITDA ($m)	5.19	8.21	9.75
Assumed exit EV / EBITDA	5.00x	6.00x	7.00x
Gross investor IRR	12.0%	13.8%	15.1%
Gross investor MOIC	1.63x	1.75x	1.85x
Minimum annual fixed-charge coverage	1.12x	1.41x	1.51x
Minimum closing cash ($m)	2.32	3.04	3.31

Operating forecasts are scenario-defined annual revenue growth and margin assumptions. Cash flows deduct cash taxes, recurring capex, incremental working capital, senior interest, annual senior principal amortization, subordinated cash interest and preferred dividends. Preferred PIK accrues to the exit claim. The terminal waterfall pays senior principal, subordinated principal and accreted preferred before the simplified penny warrant participates in residual common equity. Gross returns exclude fund-level fees, carried interest and investor taxes. [Model: three case tabs]

7 | Pricing sensitivity and investment discipline

With all base operating assumptions unchanged, investor warrant participation increases from 5% to 10% and modeled gross IRR rises from approximately 13.8% to 16.5%. The formula-calculated warrant participation required to hit the independent 16% gross hurdle is approximately **9.01%**. This is not a quoted Seacoast hurdle, a term offered by NFS or a recommendation to demand precisely 9.01% equity. Structural and dilution negotiations require a verified capital table, legal documentation and a fair valuation. [Model: Pricing Sensitivity]

Crucially, fixing base-case pricing does not fix downside debt service. The downside 1.12x minimum modeled coverage is weak compared with the independent 1.20x threshold. A revised opportunity should be stress-tested for lower throughput, working-capital drag, late OEM vehicle deliveries, rework costs, customer concentration and slower refinancing markets before the analyst would revisit an approval recommendation.

8 | Key risks, competing explanations and kill criteria

Risk	Potential downside / test	Reject or pause if
Unverified numbers	Revenue, EBITDA and debt assumptions lack financial records	Historical and normalized cash flow cannot substantiate the underwriting.
OEM concentration	Changing vehicle production schedules can affect volume/timing	Excessive single-OEM dependence without contract security.
Large fleet buyer exposure	Public endorsements do not establish profitable recurring contracts	No proof of repeat purchasing, contract renewals or concentration limits.
Throughput and labor	Capacity may not translate into productive paid volume	Capital project cannot demonstrate attractive post-tax incremental returns.
Quality and liability	Complex modifications carry warranty, safety and recall risks	Recurring defects, underreserved warranties or liability exclusions.
Exit and refinance	5-7x exit multiples are analyst parameters, not market comps	Debt cannot realistically be repaid or refinanced at maturity.

9 | Required next-step diligence package

Priority 1: obtain the three most recent fiscal-year financial statements and latest twelve months monthly trading, net-debt and cash balances, adjusted EBITDA bridge, revenue by OEM/customer/program, complete senior credit documents, board or management authorization to seek financing, and preliminary uses of proceeds.

Priority 2: conduct plant-level unit-economics review (volume, average labor hours, billable value per upfit, scrap/rework, utilization, warranty claims and capital intensity); confirm concentration with U-Haul, Sunbelt and other fleet accounts; analyze backlog conversion, orders versus vehicle production and warranty reserves.

Priority 3: investigate ownership/control, shareholder alignment, preferred preference mechanics, distribution restrictions, intercreditor terms, cash sweep, reporting covenants, redemption rights and independent support for exit valuation.

10 | Process conclusion

This case should not be framed as a sourced, management-approved transaction or as a verified potential investment in NFS. It is a realistic practice exercise that highlights the distinction between business attractiveness, published mandate fit, cash-pay capacity, investor return pricing and actual diligence. **Current model decision: decline illustrative pricing; retain conditional interest only if fundamental financial and ownership evidence emerges.**

Sources and verification conventions

All claims labeled [Sxx] link to the public source register embedded in the accompanying Excel workbook. As-of date: November 6, 2026. Company facts from NFS websites are self-described; industry items support context, not actual company financial results. Formula-based workbook is the single quantitative source of truth; this memo reports rounded outputs.

S01 | Seacoast: Junior capital $5-$30m; revenue >$10m; EBITDA >$2m; <=4x leverage; >=8% current yield

S02 | Seacoast: Non-control structure and emphasis on cash flow, sub debt/preferred/common

S03 | Seacoast: Continued and incentivized management, operating history and niche leadership

S04 | Seacoast: Oct 2026 BSI recap and acquisition financed by sub debt and preferred

S05 | NFS: Founded 1996, founded by Timothy P LaRiviere, four US markets

S06 | NFS: Four operating regions; Avon Lake facility up to 25,000 vehicles annual capacity

S07 | NFS: Fleet upfit services, QC program and U-Haul testimonial

S08 | NFS: Sunbelt Rentals named in client testimonial and certified installers

S09 | NFS: Family-owned and operated, 30th anniversary in 2026

S10 | Industry: Q2 2026 new commercial truck/van average price and demand data

S11 | Industry: 2026 OEM technical upfitting summit and industry trends

Appendix A | Formula logic and underwriting limitations

Operating bridge: each projected year derives revenue from the prior year and an explicit case-specific growth rate. EBITDA equals revenue multiplied by the year-specific scenario margin; depreciation equals revenue multiplied by the assumed D&A rate. Cash taxes are applied only to positive EBIT after the modeled senior and subordinated debt cash interest, assuming interest tax deductibility that must be validated by counsel. Incremental working-capital investment is charged only on positive sales growth. Cash flow subtracts recurring maintenance capex, interest, senior principal amortization and preferred cash distributions.

Debt claims and exit waterfall: modeled senior debt declines by up to the fixed $1m annual scheduled principal payment; new subordinated principal remains outstanding until year five. Preferred principal accrues 3% PIK annually. On exit, enterprise value is assumed to equal FY5 EBITDA multiplied by the case-specific multiple and adjusted for unrestricted cash. Senior debt, subordinated principal and the accreted preferred preference are then deducted before the 5% zero-strike warrant participates in remaining common equity. Preference participation, tax leakage, capital-gains allocation and redemption mechanics are simplified and would require transaction counsel.

Returns and risk reporting: investor cash flow begins at negative $12m and includes each annual subordinated coupon plus preferred cash distribution. Year-five cash flow also includes debt and preferred repayment plus warrant proceeds. Gross IRR is the Excel IRR of the six annual cash-flow columns; gross MOIC is sum of positive receipts divided by invested capital. The minimum coverage ratio is the lowest modeled year of available operating cash divided by fixed cash charges; it is **not** an actual contracted lender covenant. The 16% hurdle and 1.20x coverage threshold are analyst screening assumptions, not Seacoast statements.

Scenario limitation: the model does not represent a full accounting balance sheet, an integrated tax return, changes in financial covenant definitions, future deal fees, delayed pref distributions, variable-rate repricing, senior credit availability or a true refinancing financing model. Terminal multiples are assumptions and have not been supported by an independent precedent-transaction set. A realistic financing decision would require all of these items to be resolved.

Source and file audit: the accompanying workbook separates the two sheets containing hardcoded numeric inputs (Assumptions and Scenario Drivers) from every calculation tab. The model was checked for spreadsheet formula errors and an exported-file numerical-hardcode scan. It is still a synthetic illustrative case and requires judgment, accounting reconciliation, term-sheet review and independent model validation before any deployment in real investing.